SUPERSTORE SALES REPORT | 2014 TO 2017

Where discounts are costing Superstore its profit

A review of 9,994 orders, and one decision it points to.

-$135K

profit lost on the 1,393 orders discounted by more than 20%

Sales are growing, but discounts are eroding the profit

$2.30M
total sales

$286K
total profit

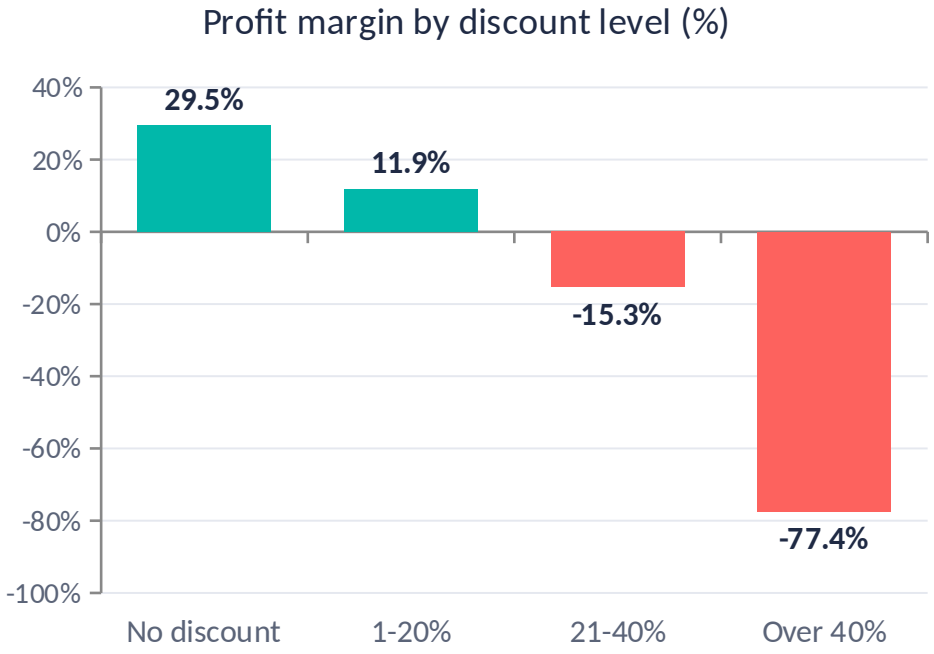
12.5%
profit margin

+20.4%
sales growth in 2017

Three things to know

1. Sales reached $2.30M and grew 20% in 2017.
2. Margin is only 12.5%, because 14% of orders carry discounts above 20%.
3. Those orders lose $135K, equal to 47% of the profit we keep.

Should Superstore cap discounts at 20%? Yes: above that, orders lose money



Answer: yes. Cap discounts at 20% unless a manager approves.

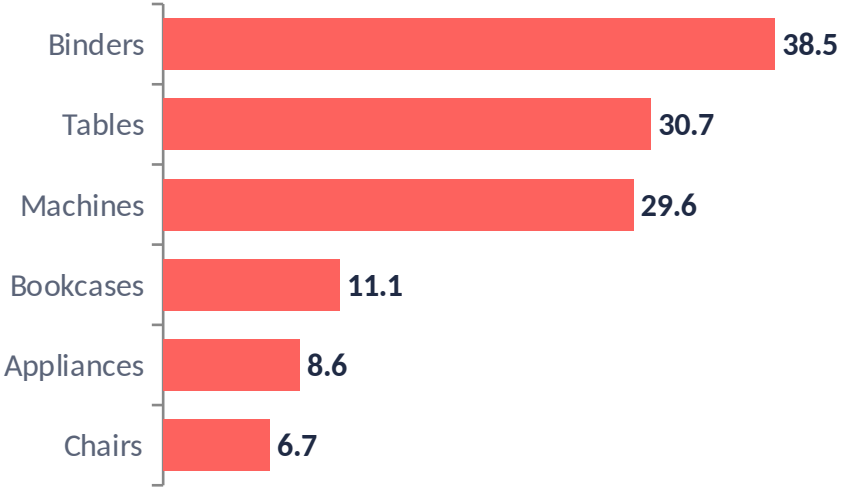
1,393 orders (14% of all) were discounted above 20%

97% of those orders lost money

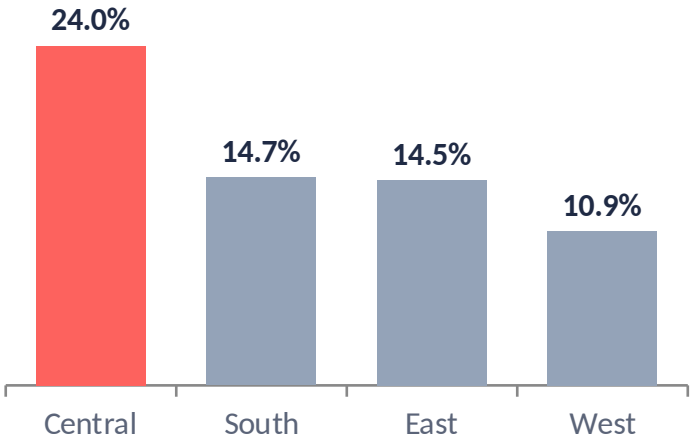
$422K profit from orders at 20% or less, a 21.8% margin

The damage sits in Binders, Tables, Machines and the Central region

Profit lost on orders over 20% off ($K)

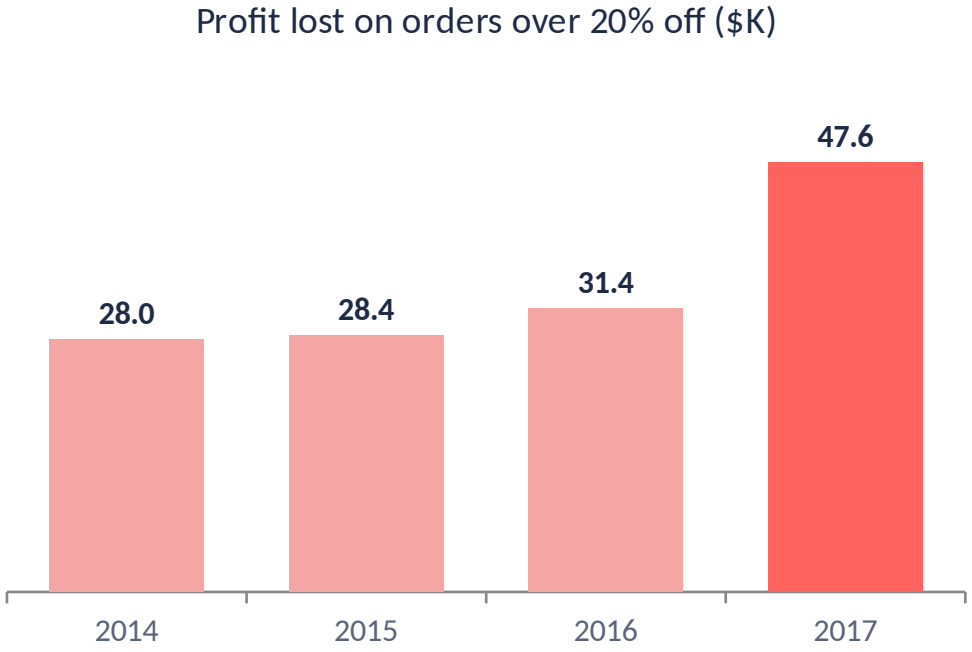


Average discount by region (%)



Binders get a 37% average discount, and Central loses $52K on orders above 20%, the most of any region.

Discount losses grew 52% in 2017, far faster than sales



+20.4% sales growth in 2017

+52% growth in discount losses in 2017

$141K 2017 profit without these losses, against $93K actual

Recommendation: cap discounts at 20% and fix the three hot spots

1

Set a 20% discount ceiling

Anything higher needs manager approval, starting with the Central region.

2

Reprice Binders, Tables and Machines

Their average discounts are 37%, 26% and 31%, and they lose the most.

3

Track margin by discount level monthly

Aim to cut orders above 20% off from 14% of orders to under 3%.

EXPECTED IMPACT

+$135K

up to 47% more profit, from $286K to $422K

Upper-end estimate: assumes those orders reach break-even. Some sales volume may be lost.

Appendix: data, definitions and limits

Data

- Superstore Orders sheet
- 9,994 order lines
- Jan 2014 to Dec 2017
- 4 regions, 17 sub-categories

Definitions

- Margin = profit / sales
- Discount level = discount on the order line
- Profit lost = total profit of orders over 20% off

Limits

- Sample dataset, not live data
- Returns are not deducted
- The estimate ignores volume lost if discounts are capped